Ontario Hotel Performance Analysis Report

Period Covered: February 2023 – December 2025

This report presents a comprehensive analysis of the Ontario hospitality market over the period from **February 2023 to December 2025**. The study evaluates key hotel performance indicators, including **Occupancy Percentage, Average Daily Rate (ADR), and Revenue Per Available Room (RevPAR)** across different regions and cities in Ontario. The objective is to identify market trends, regional performance patterns, and potential opportunities for strategic decision-making.

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1. Executive Summary

The Ontario hotel sector has demonstrated **steady revenue growth between 2023 and 2025**. The primary performance metric, **Revenue Per Available Room (RevPAR)**, increased from an average of **$139.64 in 2023 to $142.09 in 2025**.

The market shows **strong seasonality**, with peak performance during the **summer months (June–September)**. Additionally, there are **significant regional differences in performance**, with the **Greater Toronto Area (GTA)** consistently generating the highest revenue across the province.

While occupancy rates have slightly declined during the period, increases in room pricing have supported overall revenue growth.

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2. Key Performance Indicators (KPI) Overview

Metric	2023 Avg	2024 Avg	2025 Avg	Overall Trend
Occupancy %	69.5%	67.8%	67.3%	Slight Decrease
Average Daily Rate (ADR)	$199.69	$205.12	$209.45	Steady Increase
RevPAR	$139.64	$140.31	$142.09	Positive Growth

Key Insight

Although **occupancy rates have slightly declined year-over-year**, the **Average Daily Rate (ADR) has steadily increased**, indicating strong pricing power within the market.

As a result, **revenue growth has been driven primarily by higher room rates rather than increased occupancy levels**.

Additionally, the **strong correlation between Occupancy and ADR suggests that hotels successfully increase room prices during periods of high demand**.

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3. Seasonality and Market Trends

The Ontario hotel market displays **clear seasonal demand patterns**, which have important implications for resource planning and pricing strategies.

Peak Season (June – September)

- **RevPAR reaches its peak in August at $180.30**
- **Occupancy rates reach approximately 80%**
- Driven primarily by **tourism, summer travel, and business activity**

Low Season (January – February)

- **RevPAR drops to its lowest level in January ($90.25)**
- **Occupancy falls to approximately 51%**

Growth Outlook

Year-over-year RevPAR growth improved:

- **2024:** +0.48%
- **2025:** +1.27%

This trend suggests **continued recovery and gradual expansion in the hospitality market**.

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4. Regional Performance Analysis

Hotel performance varies significantly across Ontario regions.

Market Leaders

- **Greater Toronto Area (GTA): $175.41 RevPAR**
- **North Western Ontario: $131.33 RevPAR**
- **Southern Ontario: $116 RevPAR**

These regions outperform the provincial average due to factors such as:

- Strong tourism activity
- Business travel demand
- Large urban markets

Lower Performing Regions

- **Central Ontario: $106 RevPAR**
- **North Eastern Ontario: $101 RevPAR**
- **Eastern Ontario: $96 RevPAR**

These areas show comparatively lower revenue efficiency, possibly due to:

- Lower tourism demand

- Smaller urban centers
- Fewer premium hotel properties

Data Quality Note

Regional-level data is **missing for North Central Ontario**, despite the presence of **city-level data such as Sault Ste. Marie**. This suggests a **data governance issue that should be reviewed for accurate regional reporting**.

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5. Relationship Between ADR and Occupancy

Analysis of the **ADR vs Occupancy relationship** reveals a **strong positive correlation** between the two variables.

Key Insight

Regions with **higher occupancy rates generally achieve higher ADR values**, indicating that hotels are able to **increase room prices when demand is strong**.

For example, the **Greater Toronto Area falls within the high ADR and high occupancy cluster**, demonstrating strong market pricing power.

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6. Occupancy Trends by Region

Regional occupancy trends from **2023 to 2025** show varying patterns across Ontario.

Region	Trend
Central Ontario	Stable (56–58%)
Greater Toronto Area	Slight decline (75% → 74%)
Southern Ontario	Noticeable decline (68% → 60%)
North Eastern Ontario	Moderate improvement (63% → 65%)
North Western Ontario	Strong improvement (66% → 71%)

Key Insights

- **North Western and North Eastern Ontario show growing demand**.
- **Southern Ontario experienced the most significant occupancy decline**, suggesting a possible shift in travel demand patterns.

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7. Top and Bottom City Performers (by Average RevPAR)

Top Performing Cities	Avg RevPAR	Lowest Performing Cities	Avg RevPAR
Downtown Toronto	$247.19	Other Southern Ontario	$82.56
Downtown Ottawa	$157.09	North Bay	$87.89
Toronto Airport	$153.21	Other Eastern Ontario	$89.79
Ottawa	$141.84	Windsor	$96.98
Niagara Falls	$140.68	Sault Ste. Marie	$97.31

Key Insights

Performance is highly concentrated in **major urban centers and tourism hubs**, including:

- Toronto
- Ottawa
- Niagara Falls

The **Toronto Airport area maintains strong RevPAR performance**, likely driven by **business travel and transit-related accommodation demand**.

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8. Strategic Recommendations

Based on the analysis, the following strategies are recommended:

1. Dynamic Pricing Strategy

Hotels in high-demand regions such as **GTA and Ottawa** should continue leveraging **dynamic pricing strategies**, particularly during peak summer months, to maximize revenue.

2. Winter Demand Stimulation

Given the significant **RevPAR decline during January and February**, hotels should introduce:

- Seasonal promotions
- Corporate packages
- Event-driven travel incentives

These initiatives can help increase occupancy during the low season.

3. Regional Investment Strategy

Future expansion and investment should prioritize:

- **Greater Toronto Area**
- **Ottawa region**

However, **North Western Ontario presents an emerging opportunity for growth** outside traditional southern markets.

4. Data Governance Improvement

Management should investigate the **missing regional data for North Central Ontario** to ensure complete and accurate reporting across all geographic areas.

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9. Visual Dashboard Summaries

The dashboard visuals provide additional insights into hotel performance trends across Ontario:

- **Province Trends:** Monthly movements in Occupancy and RevPAR.
- **Regional RevPAR Comparison:** Performance differences across regions.
- **Top 5 Regions and Cities:** Benchmarking leading markets.
- **Month-over-Month Change:** Short-term performance fluctuations.

These visualisations support the analytical findings and enable stakeholders to quickly interpret market dynamics.